



Raising financing

When a company needs additional funds, it can use either internal or external sources, or both, depending on whether it seeks large amounts of funding for long-term growth, such as an expansion, or smaller amounts for short-term expenses, such as to cover operating costs. In addition, the number of external sources available depends on whether the business is well established or whether it is relatively new and without much of a track record.

Sources of financing and capital

When considering the prospect of raising financing, the financial directors will first evaluate the financial health of the company. They will then decide what proportion of the company will be funded by equity (the company's own reserves of cash and money raised from issuing shares) and what proportion will be funded by borrowing money from an outside source, such as a bank, so that the company takes on debt.

59%
of US financial
managers say
financial flexibility
is the most
important factor
in deciding how
much debt the
company takes on

Debt and loans



Institutional lenders

Money loaned by large financial bodies, such as banks. See pp.158–159.

FUNDS IN THE
FORM OF A
LOAN FROM
AN OUTSIDE
SOURCE

INTEREST
PAYMENTS